

M/S Cinekorn Entertainment Pvt. Ltd vs Andor Productions Pvt. Ltd on 10 December, 2024

IN THE COURT OF MS. SHEETAL CHAUDHARY PRADHAN
ADDL. SESSIONS JUDGE-02 : SOUTH EAST DISTRICT
SAKET COURT : NEW DELHI

In The Matter Of :-

1. M/s. Cinekorn Entertainment Pvt. Ltd.
Through Its Managing Director
Registered Office At :
103, Ankita Apartments
Cross Road of Nehru and Dikshit Road
Vile Parle (East), Mumbai - 400057.
2. Mr. Kalapi Nagada
Director
M/s. Cinekorn Entertainment Pvt. Ltd.
103, Ankita Apartments
Cross Road of Nehru and Dikshit Road
Vile Parle (East), Mumbai - 400057.

Versus

1. Andor Productions Pvt. Ltd.
Through Its Director, Mr. Shiv Charan Sharma
Registered Office At :
4, Dudial Apartment, Pitampura
Delhi- 110034.
2. State of NCT of Delhi.

Date of Institution	:
Date of Arguments	:
Date of Judgment	:
Decision	:

M/s. Cinekorn Entertainment P. Ltd. Vs Andor Productions P. Ltd. (CA No. 88/2024)

JUDGMENT

1. Appellants M/s. Cinekorn Entertainment Pvt. Ltd and Mr. Kalapi Nagada, have filed present appeal thereby challenging the impugned judgment dated 27.01.2024 and Order on Sentence dated 19.02.2024, passed by Ld. Trial Court in CT No. 1024/2021 titled as Andor Productions P. Ltd. Vs. Cinekorn Entertainment P. Ltd & Ors. vide which appellants were convicted and sentenced to pay fine of Rs. 2,91,20,000/- jointly as compensation to the complainant.

2. Both the parties shall be referred with the same nomenclature with which they were referred before Ld. Trial Court, to avoid any confusion, in my subsequent paragraphs.

3. Briefly, the facts of this case are that ;

"The accused and the complainant entered into an agreement dated 09.04.2019 vide which accused had assigned the complainant various rights in Hindi language of film Kappan, on a sole, exclusive, worldwide and perpetual basis for a consideration of Rs. 20 Crore + GST. Considering the prevailing market conditions, the accused unconditionally confirmed and acknowledged receipt of Rs. 2,90,000,00 + GST from the B4U Broadband (India) Pvt. Ltd. on behalf of complainant under the above SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:21:20 +0530 agreement and further acknowledged and confirmed receipt of Rs. 20 Crore + GST being the entire consideration. Thereafter, pursuant to aforesaid agreement, in view of the market situation, the accused agreed vide addendum agreement dated 03.03.2020 to reduce the price of above stated film by Rs. 2 Crore + GST i.e. Rs. 2,24,00,000/-. The copy of the agreement was exhibited as Ex.CW1/4. As per the complainant, the accused in terms of the agreement confirmed and acknowledged that it had received the excess amount of Rs. 2,24,00,000/- towards the above stated film from the complainant and agreed to return the same. In terms of this agreement, the complainant has stated that the accused thereafter issued the impugned cheque to discharge its liability of Rs. 2,24,00,000/-. Upon presentation the impugned cheque bearing no. 004397, it was dishonoured with remarks "Funds insufficient" vide memo dated 12.11.2020. Thereafter, a legal demand notice dated 01.12.2020 was sent to the accused despite which he failed to make the payment. Hence, being aggrieved, the present complaint u/s 138 of NI Act was filed u/sec 138 NI Act."

M/s. Cinekorn Entertainment P. Ltd. Vs Andor Productions P. Ltd. (CA No. 88/2024) Digitally signed by SHEETAL CHAUDHARY SHEETAL CHAUDHARY Date:

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4. Ld. Trial Court vide order dated 08.02.2021 took cognizance and summoned the accused accordingly. After appearance of accused on 20.03.2021, he was admitted to bail. Thereafter, Notice

U/Sec. 251 CrPC was framed upon the accused on 06.09.2021, to which he pleaded not guilty and claimed trial. Their plea of defence was also recorded. It is stated by the accused in the Notice that "The cheque was issued as a security and they have no liability to pay any amount to the complainant." Admission denial of documents u/sec. 294 CrPC was conducted on 18.11.2021 and the accused had admitted his signatures on 09.04.2019 which was Ex.CW1/4 but denied the contents of the same. Accused has again admitted his signature on the cheque bearing no. 0004397 Ex.CW1/5. Further, accused had admitted the address on demand notice to be correct and that he had received the same.

5. In order to prove his case, the complainant examined himself as CW1 and tendered his evidence by way of affidavit Ex.CW1/A wherein averments made in the complaint were reiterated. He also relied upon various documents such as :-

1. Certificate of incorporation as Ex. CW1/1.
2. Board of resolution in favour of Vishnu Dutt as Ex.CW1/2.
3. Resolution of company as Ex. CW1/2A.
4. Master data of accused as Ex. CW1/3.
5. Copy of agreement as Ex. CW1/4.
6. Dishonoured cheque as Ex. CW1/5.
7. Bank memo as Ex. CW1/6.
8. Legal Demand Notice as Ex.CW1/7.
9. Postal receipt and proof of delivery as Ex. CW1/8, and
10. True copies of statement of bank are Ex. CW1/9 and Ex. CW1/10.

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6. The complainant was duly cross-examined at length by Ld. Counsel for the accused. Thereafter, the matter was fixed for statement of accused u/s 313 CrPC which was duly recorded and accused had stated that the cheque was issued as a security for doing business with the complainant and the same was not issued towards any liability and again accepted the signature on the impugned cheque. Thereafter, the matter was listed for defence evidence however, accused did not lead evidence and closed the same vide statement on 05.10.2023 and the matter was fixed for final arguments.

7. After hearing final arguments, vide impugned judgment dated 27.01.2024 and Order on Sentence dated 19.02.2024 passed by Ld. Trial Court, appellants were convicted and sentenced to pay fine of Rs.2,91,20,000/- jointly as compensation to the complainant within one month from passing of impugned order.

8. Subsequently, being aggrieved the impugned judgment and order on sentence passed by Ld. Trial Court, present appeal was preferred by accused persons on the followings grounds :-

a) That Ld. Trial Court has erred in not appreciating the evidence brought before it and has passed the judgment without appreciating the evidence correctly.

b) That Ld. Trial Court did not appreciate that the complainant has not disclosed the true facts in the complaint and it is nowhere pleaded in the entire complaint that the complainant has given some extra amount to the accused. The entire case is based on the agreement dated 03.03.2020.

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c) That Ld. Trial Court did not appreciate that from the very beginning, it had been pleaded by accused persons that the said cheque was issued as a security cheque and there is no transaction between the parties and the accused specifically denied any legal liability towards the complainant.

d) That complainant has not paid any extra money to the accused, as is also visible from the bank statements of the complainant, and hence the accused has no liability towards the complainant.

e) That accused is in multiple dealings with B4U pertaining to sale and purchase of various copyrights of films. Any transactions between the accused and B4U has no concern of the present complainant.

f) That complainant purposely did not file the two film assignment agreements pertaining to the movie 'Kaappaan' both dated 9th April 2019, along with this case. One was rights in Hindi language movie for total consideration of an amount of Rs. 20 Crores and the other for rights in Tamil Language for a total consideration of an amount of Rs.10 Ten Lacs. The accused only received Rs.20 crores and the complainant has still not paid Rs. 10 Lakhs, further the Complainant did not pay any extra amount i.e. Rs. 2,24,00,000/-

as alleged by the complainant in the complaint case.

g) That at the time of filing of the case, complainant had not filed any bank statement or any documents and it was only after summoning, when complainant filed additional documents and its bank statements for 01.04.2019 to 31.03.2020 and further filed the bank statements of B4U from 01.09.2019 to 30.09.2019, which do not show more dealings between the accused and B4U.

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h) That Ld. Trial Court did not appreciate that AR of complainant was incompetent and was not authorized to file the complaint or to depose on behalf of complainant. The authorization is without any signatures. The document of the authorization, authorizing CW-1 as AR becomes doubtful, however Ld. Trial Court brushed aside such an important aspect of the matter.

i) That Ld. Trial Court did not appreciate that complainant company had deliberately concealed the material witness who had represented the Complainant Company during the transaction with the Accused Company.

j) That even otherwise, the sentence awarded by Ld. Trial Court vide order dated 19.02.2024 is unreasonable, harsh and excessive. The Accused persons have no liability to pay a single penny towards the cheque amount to the complainant. In such a situation, Ld. Trial Court ought to have been lenient while awarding the sentence and ought to have considered releasing the appellant on probation.

9. In addition to aforesaid grounds of appeal, Ld. Counsel for appellant/ accused has argued that Ld. Trial Court did not appreciate the falsity in the claim of complainant and the impugned judgment and order on sentence are based on conjectures and surmises. It has also been argued that after substituting the new AR, the Complainant filed a new evidence by way of affidavit of Shiv Charan Sharma, which itself shows that accused had been duly paid the amount of Rs. 20 Crores plus GST by way of bank transfers. Ld. Trial Court did not appreciate the cross-examination of CW1 properly. It has been argued that Ld. Trial Court did not appreciate that the respondent misused the security cheque which was issued in good faith for arrangement to reduce the price of the existing SHEETAL CHAUDHARY Date:

2024.12.10 15:21:43 +0530 contracted film. The judgment passed by Ld. Magistrate is bad in the eyes of law and is liable to be set aside because the complainant, on the basis of the entire material available on record, has not been able to prove and establish all the ingredients of the offence and could not make out a prima facie case against the accused beyond all reasonable doubts in terms of Section 138 of NI Act. That impugned judgment and order on sentence passed by Ld. Trial Court has suffered from grave irregularity and illegality and the same has been passed in a mechanical way. Therefore, it is prayed that impugned judgment and order on sentence be set aside.

10. Per contra, Ld. Counsel for complainant/ respondent has argued that the order passed by Ld. Trial Court is legal and correct. Further, it has been argued that the complainant have properly proved the evidence to support its case. It is further argued that presumption as stated u/sec. 118 and 119 of the NI Act, 1881, is against the accused and therefore, the conviction of accused be upheld. Ld. Counsel for complainant has further argued that the signatures on the cheques in question, are not disputed and were issued to repay the due amount to the complainant. It has been argued that complainant had discharged the onus by leading evidence. It has been further argued that merely by putting suggestions to the complainant does not amount to disbelieve the case of complainant and therefore, impugned judgment does not require any interference and is liable to be upheld.

11. I have heard Ld. Counsel for accused/ appellant, Ld. Counsel for complainant/ respondent and have carefully gone through the record.

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12. In order to appreciate and decide the present appeal, Section 118 (a) and Section 139 of NI Act are mentioned in verbatim below :-

"Section 118 : Presumptions as to negotiable instruments,- Until the contrary is proved, the following presumptions shall be made:-

(a) of consideration - that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted indorsed, negotiated or transferred, was accepted, was indorsed, negotiated or transferred for consideration;"

"Section 139 : Presumption in favour of holder - It shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability."

13. Further, I find it relevant to mention here law with respect to the presumptions U/s. 118 (a) and 139 NI Act. The said interpretations given by higher echelon of Judiciary, are relevant and mentioned below :-

"138 Dishonour of cheque for insufficiency, etc., of funds in the account,- Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid

from Digitally SHEETAL SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:21:52 +0530 that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provisions of this Act, be punished with imprisonment for (a term which may be extended to two years), or with fine which may extend to twice the amount of the cheque, or with both: Provided that nothing contained in this section shall apply unless-

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, (within thirty days) of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder in due course of cheque, within fifteen days of receipt of said notice."

14. Hon'ble Apex Court had the occasion to appreciate and interpret aforesaid provisions in case titled as Kusum Ingots and Alloys Ltd. Vs. Pennar Peterson Securities Ltd. (2000) 2 SCC 745 and observed that in order to successfully prosecute the drawer of a cheque for an offence U/s. 138 NI Act, following facts are required to be proved successfully.

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2024.12.10 15:21:56 +0530 "a) A person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account for discharge of any debt or liability.

b) That cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier.

c) That cheque is returned by the bank unpaid, either because the amount of money standing to the credit of the account is insufficient to honour cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank.

d) The payee or the holder in the due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing to the drawer of

the cheque, within 15 days of the receipt of the information by him from the bank regarding the return of the cheque as unpaid.

e) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of said notice....."

".....Judicial statements have deferred as to the quantum of rebutting evidence required. In Kundun Lal Rallaram Vs. Custodian, Evacuee Property, Bombay AIR 1961 SC 1316, this Court held that the presumption of law under Section 118 of presumption of fact raised under Section 114 of the Evidence Act. The decision must be limited to the facts of that case. The more authoritative view has been laid down in the subsequent decision of the Constitution Bench in Dhanvantrai Balwantrai Desai v. State of Maharashtra : 1964 Cri. L 1437 : 1964 Cril 1437, where this Court reiterated the principle enunciated in State of Madras v. Vaidyanath Iyer (supra) and clarified that the distinction between the two kinds of presumption lay not only in the mandate to the Court, but also in the Digitally signed by SHEETAL SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:22:00 +0530 nature of evidence required to rebut the two. In the case of a discretionary presumption the presumption if drawn may be rebutted by an explanation which "might reasonably be true and which is consistent with the innocence" of accused. On the other hand in the case of mandatory presumption "the burden resting on the accused person in such a case would not be as light as it is where a presumption is raised under S.114 of the Evidence act and cannot be held to be discharged merely by reason of the fact that the explanation offered by the accused is reasonable and probable. It must further be shown that the explanation is a true one. The words 'unless the contrary is proved' which occur in this provision make it clear that the presumption has to be rebutted by 'proof' and not by a bare explanation which is merely plausible. A fact is said to be proved when its existence is directly established or when upon the material before it the court finds its existence to be so probable that a reasonable man would act on the supposition that it exists. Unless, therefore, the explanation is supported by proof, the presumption created by provision cannot be said to be rebutted..."

15. It is a well settled legal position that presumptions U/s. 118 and 139 NI Act are rebuttable presumptions and burden lies on accused to prove that he had no liability/debt on the date of issue of cheque. It is also a settled principle of law that to bring home an offence under any of the penal provisions, it is essential to prove the case beyond reasonable doubt and ingredients of offence should be satisfied. Hon'ble Apex Court had the occasion to appreciate said provisions in certain case laws which are relevant for the purpose of adjudication of appeal. Relevant observations of said case laws are mentioned in my subsequent paragraphs.

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16. In case titled as M.S.Narayana Menon Vs. State of Kerala 6 SCC 39 it was held that ;

"While dealing with that aspect in a case under Section 138 of the Negotiable Instruments Act, 1881, this court held that presumptions under sections 118

(a) and 139 of the Act are rebuttable and the standard of proof required for such rebuttal is preponderance of probabilities and not proof beyond reasonable doubt.

The Court observed:

In terms of section 4 of the Evidence Act whenever it is provided by the Act that the court shall presume a fact, it shall regard such fact as proved unless and until it is disproved. The words "proved" and "disproved" have been defined in section 3 of the Evidence Act (the interpretation clause). Applying the said definitions of "proved or "disproved" to the principle behind section 118 (a) of the Act, the court shall presume a negotiable instrument to be for consideration unless and until after considering the matter before it, it either believes that the consideration does not exist or considers the non-existence of the consideration so probable that a prudent man ought, under the circumstances of the particular case, to act upon the supposition that the consideration does not exist. For rebutting such presumption, what is needed is to raise a probable defence. Even for the said purpose, the evidence adduced on behalf of the complainant could be relied upon.

The standard of proof evidently is preponderance of probabilities. Inference of preponderance of probabilities can be drawn not only from the materials on record but also by reference to the circumstances upon which the relies.

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2024.12.10 15:22:09 +0530 Therefore, the rebuttal does not have to be conclusively established but such evidence must be adduced before the court in support of the defence to exist or consider its existence to be reasonable probable, the standard of reasonability being that of the "prudent man".

17. Further, in Bharat Barrel and Drum Manufacturing Company Vs. Amin Chand Pyarelal (1999) 3 SCC 35 it was observed as under:-

"Upon consideration of various judgments as noted hereinabove, the position of law which emerges is that once execution of the promissory note is admitted, the presumption under Section 118(a) would arise that it is supported by a consideration. Such a presumption is rebuttable. The defendant can prove the non-existence of a consideration by raising a probable defence. If the defendant is proved to have

discharged the initial onus of proof showing that the existence of consideration was improbable or doubtful or the same was illegal, the onus would shift to the plaintiff who will be obliged to prove it as a matter of fact and upon its failure to prove would disentitle him to the grant of relief on the basis of the negotiable instrument. The burden upon the defendant of proving the non- existence of consideration can be either direct or by bringing on record the preponderance of probabilities by reference to the circumstances upon which he relies. In such an event, the plaintiff is entitled under law to rely upon all the evidence led in the case including that of the plaintiff as well. In case, where the defendant fails to discharge the initial onus of proof by showing the non-existence of the SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:22:13 +0530 consideration, the plaintiff would invariably be held entitled to the benefit of presumption arising under Section 118(a) in his favour. The court may not insist upon the defendant to disprove the existence of consideration by leading direct evidence as the existence of negative evidence is neither possible nor contemplated and even if led, is to be seen with a doubt. The bare denial of the passing of the consideration apparently does not appear to be any defence. Something which is probable has to be brought on record for getting the benefit of shifting the onus of proving to the plaintiff. To disprove the presumption, the defendant has to bring on record such facts and circumstances upon consideration of which the court may either believe that the consideration did not exist or its non-existence was so probable that a prudent man would, under the circumstances of the case, shall act upon the plea that it did not exist."

"Section 139 of the Act is an example of reverse onus clause that has been included in furtherance of the legislative objective of improving the credibility of negotiable instruments. While Section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheques, the rebuttable presumption under Section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by Section 138 can be better described as a regulatory offence since the bouncing of a cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in commercial transactions."

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2024.12.10 15:22:16 +0530 "In the absence of compelling justification, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is settled position that when an accused has to rebut the "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in citations, the accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of

his/her own."

18. The net result in the light of above dictum is that complainant in a case filed U/Sec. 138 NI Act has to prove the ingredients of said provision, beyond reasonable doubt. The presumptions U/Sec. 118 (a) and 139 NI Act do favour the complainant but those presumptions are rebuttable. Accused can rebut those presumptions based on preponderance of probabilities. It is not required that in each and every case accused has to lead defence evidence for rebutting aforesaid presumptions. Accused can rebut the aforesaid presumptions on the basis of material brought on record by complainant.

19. Keeping in mind above mentioned law and understanding of law, I am proceeding further with the case in hand.

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20. So far as question of leading evidence and liability or debt towards the cheque in question, is concerned, in the case law titled as K.N. Beena Vs. Muniyappan & Anr. Appeal (Crl.) 1066 of 2001, Spl. Leave Petition (Crl) No. 969/2001 decided on 18.10.2001 by Hon'ble Apex Court , it has been held that :-

In our view the impugned Judgment cannot be sustained at all. The Judgment erroneously proceeds on the basis that the burden of proving consideration for a dishonored cheque is on the complainant. It appears that the learned Judge had lost sight of Sections 118 and 139 of the Negotiable Instruments Act. Under Sections 118, unless the contrary was proved, it is to be presumed that the Negotiable Instrument (including a cheque) had been made or drawn for consideration. Under Section 139 the Court has to presume, unless the contrary was proved, that the holder of the cheque received the cheque for discharge, in whole or in part, of a debt or liability. Thus in complaints under Section 138, the Court has to presume that the cheque had been issued for a debt or liability. This presumption is rebuttable. However the burden of proving that a cheque had not been issued for a debt or liability is on the accused. This Court in the case of Hiten P. Dalal vs. Bratindranath Banerjee reported in (2001) 6 S.C.C. 16 has also taken an identical view.

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21. Ld. Counsel for accused/ appellant has contended that it was nowhere pleaded in the entire complaint that the complainant has given some extra amount to the accused.

22. The basic limb of arguments on appeal is that the complainant company i.e. Andor Productions is not the sister concern of B4U Company, that the cheque in question was issued as 'security cheque' which was misused by the complainant and the complainant has failed to produce any transactions in this regard.

23. This brings me to the appreciation of evidence led by the parties. During the cross-examination of complainant, accused in his defence has confronted three documents i.e. Ex.CW1/X1, Ex.CW1/X2 and Ex.CW1/X3 including other documents to the complainant/ CW1.

24. During the Notice u/sec. 251 CrPC, accused has taken the defence that 'cheque in question bears his signature and the cheque was issued as 'security cheque' and they have no liability to pay anything'.

25. During the statement u/sec. 313 CrPC, accused in his defence has stated that 'his company is in business with the parent company/ subsidiary company B4U Broadband Ltd for sale of copyrights of movies. In such transactions, his company buys and sells movies from and to the complainant. Further, two film assignment agreements dated 09.04.2019 were executed between his company and the complainant. Further, accused has no liability whatsoever qua the impugned cheque towards the complainant.' SHEETAL CHAUDHARY Date:

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26. Perusal of the document Ex.CW1/X1 reveals that it was an agreement dated 09.04.2019 executed between the parties qua the rights of film Kappan for all Indian languages except Hindi, Tamil, Telgu, Kannada and Malayalam. Record further reveals that Ex.CW1/X2 was an agreement dated 09.04.2019 executed between the parties qua the rights of film Kappan in Hindi language, for an amount of Rs. 20 excluding GST. The next document is Ex.CW1/X3 which is Company Master Data and the document Ex.CW1/X4 is the computer printout showing a news/ information that 'Sunil Shah appointed as Group Managing Director of B4U Films'.

27. During cross-examination, CW1 admitted the execution of agreement Ex.CW1/X2 between them qua the Hindi rights of the aforesaid film. Thereafter, considering the market situation, another agreement Ex.CW1/4 was executed between them.

28. The documents Ex.CW1/X3 which is just a Company Master Data without signature of any party and the document Ex.CW1/X4 is the computer printout showing a news/ information that 'Sunil Shah appointed as Group Managing Director of B4U Films'. They are of no relevance in deciding the present appeal.

29. Further, in support of his claim, complainant has filed the bank account statement Ex.CW1/9 and Ex.CW1/10, but no cross-examination was done on the aforesaid bank statements/ documents, which created the doubt on the veracity of defence of accused.

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30. Further, agreement dated 09.04.2019 (Ex.CW1/4) executed between the Cinekorn Entertainment Pvt. Ltd and Andor Productions Pvt. Ltd. is relevant for deciding the present appeal, also perused. The relevant paras of the said agreement are reproduced in verbatim as below :-

"2. Cinekorn hereby unconditionally confirms and acknowledges receipt of Rs. 2,90,00,000/- (Rupees Two Crores Ninety Lakhs only) plus GST from B4U Broadband (India) Private Limited (B4U) for and on behalf of Andor towards the said Film under the said Agreement and further unconditionally confirms and acknowledges receipt of Rs. 20,00,00,000/- (Rupees Twenty Crores only) plus GST being the entire consideration towards the said Film.

3. Upon discharge of the entire obligations of the parties under the said Agreement, in lieu of the current market situations and considering the business relationship between the Parties, Cinekorn agrees to reduce the price of the said Film by Rs. 2,00,00,000/- (Rupees Two Crores only) plus GST being an amount of Rs. 2,24,00,000/- (Rupees Two Crores Twenty-Four Lakhs only) inclusive of GST.

4. Cinekorn hereby confirms and acknowledges that it has received an excess amount of Rs. Rs. 2,24,00,000/- (Rupees Two Crores Twenty-Four Lakhs only) ("Differential Amount") towards the said Film from Andor.

5. As there is a liability required to be discharged by Cinekorn for the Differential Amount, Cinekorn has issued to Andor a cheque bearing number 004397 dated 31 August 2020 for an amount of Rs.

2,24,00,000/- (Rupees Two Crores Twenty-Four Lakhs only) ("Cheque") towards the discharge of Cinekorn's liability."

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31. From the aforesaid agreement, it clearly shows that appellant i.e. Cinekorn Entertainment Pvt. Ltd had unconditionally confirmed and acknowledged the receipt of Rs. 2.90 Crore plus GST from B4U Broadband India Pvt. Ltd for and on behalf of Andor Productions Pvt. Ltd. and further confirmed and acknowledged the receipt of Rs. 20 Crores plus GST being the entire consideration. And also, the appellant had admitted the liability for the differential amount for which it had issued the impugned cheque." The signature on the said agreement is also not disputed by the accused and mere denial of its contents by accused, cannot absolve him from terms and conditions of the same.

32. As regards standard of proof for displacing presumption under Section 118 (a) and 139 NI Act, it is settled that the defence has to establish its case on the principle of preponderance of probability.

33. In Rangappa vs. Sri Mohan (AIR 2010 SC 1898) , Hon'ble Supreme Court of India held that standard of proof for rebutting presumption under Section 139 NI Act is preponderance of probabilities and for that matter, the accused can rely on the material submitted by the complainant, as under :-

"28. In the absence of compelling justifications, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is a settled position that when an accused has to rebut the presumption under Section 139, the standard of proof for doing so is that of "preponderance of probabilities".

SHEETAL CHAUDHARY 2024.12.10 15:22:41 +0530 Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in the citations, the accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of his / her own."

34. In Kishan Rao vs. Shankargouda, (2018) 8 SCC 165, Hon'ble Supreme Court of India held that the accused may adduce evidence to rebut the presumption, but mere denial regarding existence of debt shall not serve any purpose. It was held in para 20 ;

"20..... The accused may adduce direct evidence to prove that the note in question was not supported by consideration and that there was no debt or liability to be discharged by him. However, the court need not insist in every case that the accused should disprove the non- existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. At the same time, it is clear that bare denial of the passing of the consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances, upon consideration of which, the court may either believe that the consideration and debt did not SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:22:45 +0530 exist or their non- existence was so probable that a prudent man would under the circumstances of the case, act upon the plea that they did not exist....."

35. Further, the defence taken by Ld. Counsel for the accused that the findings of Ld. Trial Court being security cheque, could not form the basis of a complaint under Section 138 of the NI Act, is not tenable. Reliance in this regard is also placed upon the case law Suresh Chandra Goyal vs. Amit Singhal Crl. L.P 707/2014 wherein the Hon'ble High Court of Delhi, wherein it has been held that ;

"28. There is no magic in the word "security cheque", such that, the moment the accused claims that the dishonoured cheque (in respect whereof a complaint under

Section 138 of the Act is preferred) was given as a "security cheque", the Magistrate would acquit the accused. The expression "security cheque" is not a statutorily defined expression in the NI Act. The NI Act does not per se carve out an exception in respect of a 'security cheque' to say that a complaint in respect of such a cheque would not be maintainable. "

36. Further, once the accused admitted his signature on the cheque, the trial court has to presume that the cheque was issued as consideration for a legally enforceable debt. Reliance in this regard is placed upon the case law titled as Kalamani Tex & Anr. Vs. P. Balasubramanian (2021) 5 SCC 283 .

37. Complainant was cross-examined by accused but he did not put any questions to the complainant to derail his story or by which the veracity of complainant could be doubted. Further, the signatures on the cheques in question are not disputed. So, the probable defence of accused was not put to complainant for checking its veracity.

38. The suggestions of deposing falsely, was refuted by complainant. Even otherwise, accused did not develop his case, based on said suggestions. He has also failed to bring any evidence in support of his version/ case which could thrash the case of complainant and did not examine any witness to substantiate his defence. Accused failed to lead any cogent evidence in support of his case.

39. So, the net result is that, accused did not put his specific case to complainant by way of suggestions or by way of putting questions, based on that case. While cross-examining complainant, accused failed to rebut the case of complainant and presumptions u/sec. 118/139 NI Act. There was nothing unreasonable and improbable about the conduct, demeanor and facts deposed by complainant, in his testimony. I believed the testimony of complainant, to be trustworthy and reliable.

40. The defence taken by accused was of no consequence to the cause of accused. So, accused failed to probablize his defence based on preponderance of probabilities. The defence raised by the accused before the Appellate Court, have already been dealt and rightly considered by Ld. Trial Court in its impugned judgment. Therefore, in my considered view, SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.10 15:22:54 +0530 the defence raised by accused does not inspire confidence or meet the standard of 'preponderance of probabilities'.

41. The grounds of appeal as such, are vague in nature. In the absence of any relevant material, accused failed to highlight any shortcoming in the reasoning given by Ld. Trial Court in impugned judgment of conviction, based on facts and law. The complainant was able to adduce sufficient evidence that he was in a position to advance the loan amount in question. Therefore, accused had filed present appeal, just for the sake of it. Same did not help his cause.

42. Therefore, in my considered view, there is no merit in the present appeal filed by the accused/appellant and the same stands dismissed. Impugned judgment dated 27.01.2024 and Order on Sentence dated 19.02.2024, passed by Ld. Trial Court, stands upheld.

File be consigned to Record Room after due compliance.

Announced in the Open Court

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Today

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[Sheetal Chaudhary Pradhan]
ASJ-02, South-East/Saket/Del
10.12.2024